Quillwood Credit Partners
Origination and credit | Internal working paper

Caboolture West Estates A$58M Land and Civils Facility

Investment Committee Paper: Senior Secured Land and Civils Development Facility, Caboolture

Prepared for the Investment Committee meeting of 22 March 2023

Prepared by Quillwood Credit Partners, Real Estate Finance

Version 1.0, 9 March 2023

Strictly confidential

Reference: QCP-IC-2023-0314

Date: 9 March 2023

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Caboolture West Estates Pty Ltd
ABN	94 543 474 256
Registered address	Level 2, 46 Hasking Street, Caboolture QLD 4510
Sponsor	Tidewater Communities Group (Tidewater Communities Pty Ltd as head entity)
Property	41.6 hectare site, Caboolture West, Moreton Bay region, QLD (318 residential lots, five stages)
Facility	A$58.0M senior secured land and civils development facility, 30 months
Arranger	Ashgrove Capital Advisory Pty Ltd
Prepared by	Quillwood Credit Partners, Real Estate Finance
Prepared for	Investment Committee, meeting of 22 March 2023
Date and version	9 March 2023, Version 1.0

Transaction details

1. Executive Summary

Quillwood Credit Partners (Quillwood) has been asked by Ashgrove Capital Advisory Pty Ltd to provide a A$58.0M senior secured land and civils development facility to Caboolture West Estates Pty Ltd (the Borrower), a single purpose entity established by the Tidewater Communities Group (Tidewater or the Sponsor). The Borrower owns a 41.6 hectare freehold site at Caboolture West in the Moreton Bay region of South East Queensland. The site holds development approval for 318 residential lots in five stages, with lots ranging from about 330 to 600 square metres and averaging about 450 square metres.

The facility will refinance the vendor terms balance on the land and fund bulk earthworks, roads, stormwater, sewer, water and electrical civil works for Stages 1 to 5. Repayment will come from the settlement of finished titled lots to owner-occupiers and small builders, subject to agreed release prices. The Borrower does not sell to a single bulk purchaser and carries no completed building product, which keeps the exit simple and granular.

The key credit metrics are set out below. Total development cost (TDC) is A$86.0M, funded by the A$58.0M facility (67.4% of cost) and A$28.0M of sponsor equity (32.6%). Harbourline Property Valuers Pty Ltd (Harbourline) assessed the land at A$31.5M as is and the gross realisation value (GRV) at A$108.8M excluding GST as at 24 November 2022, an average of A$342,000 per lot. The facility represents 53.3% of GRV. On a 30% fall in GRV, the facility would still represent 76.2% of GRV, with net sale proceeds covering the facility 1.27 times.

Metric	Value
Facility limit	A$58.0M
Total development cost	A$86.0M
Sponsor equity	A$28.0M (32.6% of TDC)
Loan to cost	67.4%
Land value, as is	A$31.5M
Gross realisation value	A$108.8M (ex GST)
Facility to GRV	53.3%
Pre-sales, Stages 1 and 2	58 of 142 lots (41%)
Sponsor group net debt to EBITDA, FY22	2.5x

Table 1: Key credit metrics at proposal

The principal strengths are the moderate leverage against GRV, the equity-first funding of the early works, the granular lot-by-lot exit into a segment of the market that serves owner-occupiers, a fixed price civil contract with an experienced contractor, and a sponsor with a repeatable record of delivering masterplanned estates in the Moreton Bay and

Brisbane corridors. The principal weaknesses are the modest pre-sale level of 41% across Stages 1 and 2, the absence of any pre-sales for Stages 3 to 5, exposure to civil cost and wet weather risk, and the dependence on Tidewater for completion and overrun support when the Sponsor group carries net debt of 2.5 times EBITDA.

The analyst view is that these weaknesses are adequately addressed by the structure, in particular the stage-based drawdown tests, the 100% cash sweep of net settlement proceeds, and the first-ranking security. The recommendation is to approve, subject to the conditions in Section 10.

2. Recommendation

The Investment Committee is asked to approve the following, subject to the covenants in Section 9 and the conditions precedent and subsequent in Section 10:

- A senior secured land and civils development facility of A$58.0M to Caboolture West Estates Pty Ltd, with a tenor of 30 months from financial close and a scheduled maturity expected in September 2025.
- Indicative pricing of 3 month BBSW plus 6.25% p.a. on drawn amounts, a 1.50% establishment fee (A$870,000), a 0.75% p.a. line fee on the undrawn commitment, and a default rate margin of 2.00% p.a.
- Security comprising a first registered mortgage over the project land, a general security agreement (GSA) over the Borrower, and completion and cost overrun undertakings from the Sponsor.
- Delegated authority to the Head of Real Estate Finance to agree minor variations to documentation that do not change the credit risk, the pricing or the covenant package.

At 3 month BBSW of approximately 3.7%, the drawn margin implies an all-in rate of approximately 10.0% p.a. Including the establishment and line fees, and on the base case drawing profile, the expected return is in the order of 11% p.a. Quillwood proposes to hold the exposure across its managed funds, subject to allocation, and the exposure sits within the single-name and sector limits of the investment mandate.

3. The Transaction

3.1 Background and purpose

The Borrower settled the acquisition of the site on 24 February 2022, funded by sponsor equity and vendor terms. Development approval for reconfiguring a lot, permitting 318 residential lots in five stages, was granted on 12 September 2022. Ashgrove Capital Advisory Pty Ltd issued the information memorandum on 17 October 2022, and the indicative term sheet was issued on 17 February 2023. The facility will be used to:

- repay the vendor terms balance of approximately A$14.0M at financial close; and
- fund the bulk earthworks and civil infrastructure costs, professional fees, approvals and infrastructure charges, selling costs, and capitalised interest and fees for Stages 1 to 5, after the application of A$11.4M of sponsor cash equity.

3.2 Facility terms

Borrower	Caboolture West Estates Pty Ltd
Facility type	Senior secured land and civils development facility
Limit	A$58.0M, including capitalised interest and fees
Tenor	30 months from financial close
Interest	3 month BBSW plus 6.25% p.a. on drawn amounts, capitalised monthly within the limit
Establishment fee	1.50% of the limit (A$870,000)
Line fee	0.75% p.a. on the undrawn commitment
Default margin	2.00% p.a.
Repayment	100% of net settlement proceeds applied to the facility, subject to minimum release prices
Release price	115% of allocated debt per lot (allocated debt A$182,400 per lot, release A$209,800 per lot)
Security	First registered mortgage, GSA, assignment of contracts, sponsor undertakings

Table 2: Summary of proposed terms

Allocated debt is the A$58.0M limit divided by 318 lots, or approximately A$182,400 per lot. The minimum release price of 115% of allocated debt equates to approximately A$209,800 per lot, or about 61% of the average lot price of A$342,000. The practical effect of the cash sweep is that no surplus is released to the Sponsor until the facility is repaid in full. The release price is a floor for individual lot sales and protects against discounting of unsold stock to meet cash needs.

3.3 Sources and uses

Use of funds	A$M	% of TDC
Land acquisition and costs	30.6	35.6%
Bulk earthworks	9.6	11.2%
Roads and stormwater	12.4	14.4%
Sewer and water	6.8	7.9%
Electrical and communications	3.9	4.5%
Professional fees, approvals, charges	6.5	7.6%
Contingency	2.4	2.8%
Selling and marketing	3.3	3.8%
Finance costs (interest and fees)	10.5	12.2%
Total development cost	**86.0**	**100.0%**

Table 3: Total development cost, ex GST

Source of funds	A$M	% of TDC
Quillwood senior facility	58.0	67.4%
Sponsor equity (land A$16.6M, cash A$11.4M)	28.0	32.6%
Total sources	**86.0**	**100.0%**

Table 4: Sources of funds

Hard civil costs total A$32.7M. The contingency of A$2.4M is 7.3% of hard costs. Corbett Lowe Quantity Surveyors Pty Ltd (Corbett Lowe), in its report dated 9 December 2022, reviewed the cost plan against the Brightwater Civil Pty Ltd (Brightwater) tender and concluded that the budget is reasonable and the contingency adequate for a project of this type at this stage of design. Finance costs of A$10.5M cover the establishment fee, the line fee and interest on the

base case balance, and are funded within the limit.

4. Borrower and Sponsor

4.1 The Borrower

Caboolture West Estates Pty Ltd (ABN 94 543 474 256) is a special purpose, Queensland-based company with its registered address at Level 2, 46 Hasking Street, Caboolture QLD 4510. It is wholly owned within the Tidewater Communities Group and has no activities other than the acquisition, development and sale of the Caboolture West site. As the project is pre-revenue, FY22 revenue for the Borrower was nil, and the Borrower has no financial history on which to assess serviceability. Credit support rests on the project economics, the security and the Sponsor.

The Borrower will hold the freehold land, enter into a lump sum civil contract with Brightwater, engage consultants and sell finished titled lots under standard Queensland contracts for the sale of land. Purchaser deposits will be held in trust by the Borrower's solicitors until settlement. Directors of the Borrower are Margaret Ellison, Daniel Blackwood and Priya Carmody, each of whom also sits on the board of the Sponsor head entity.

4.2 The Sponsor and track record

Tidewater Communities Group, with Tidewater Communities Pty Ltd as head entity, is a Moreton Bay based residential land developer. The Group has delivered masterplanned and infill estates across the Moreton Bay, Brisbane north and Ipswich corridors for more than a decade. It sources sites, obtains approvals, procures civil works through head contractors, and sells lots through a mix of an in-house sales team and external agents. The Group does not build homes and sells lots to owner-occupiers and small builders.

The Group's four most recent comparable projects are summarised below. Settlement default is the share of contracted lots that failed to settle on the original contract and had to be resold or settled late, measured by lots. The information is drawn from the information memorandum and was tested against settlement statements for two of the four projects provided by the Sponsor. Quillwood has not been given lender references for the earlier projects and requires them as a condition precedent (Section 10).

Project	Location	Lots	Settlement default
Lakeview Rise	Narangba	214	1.4%
Burpengary Parkside	Burpengary	286	2.4%
Deception Bay Green	Deception Bay	172	1.7%
Ripley Meadows	Ripley	395	2.4%
Total or weighted average		**1,067**	**2.1%**

Table 5: Selected completed Tidewater projects

The weighted average settlement default rate of 2.1% across 1,067 lots compares with a stress assumption of 5% in the Quillwood model. The individual project rates are in a narrow range of 1.4% to 2.4%. The projects were delivered in a period of rising prices, so the record is not a test of settlement behaviour in a falling market, and the stress case has been set accordingly. Caboolture West, at 318 lots, is smaller than Ripley Meadows but is the first Tidewater estate in the Caboolture West precinct, where the Group has no prior sales history.

4.3 Management

- Margaret Ellison, Director and Chief Executive Officer, leads the Group, sets the development pipeline and owns the relationships with councils and landowners. She has more than 25 years of experience in residential land development in South East Queensland.
- Daniel Blackwood, Director, Development and Delivery, is responsible for design, approvals, procurement and construction delivery, and will be the project director for Caboolture West. He has delivered each of the four projects in Table 5.
- Priya Carmody, Director and Chief Financial Officer, is responsible for funding, treasury and reporting, and will be the primary contact for covenant compliance and drawdown certification.

The team is small and experienced, with some key person risk. Key person provisions in the documentation require Quillwood's consent for the replacement of Mr Okonkwo-Reid as project director, and the Sponsor has agreed to notify Quillwood of any departure of Ms Ellison or Ms Raman.

4.4 Sponsor financial position

The Group's audited financial statements for the year ended 30 June 2022 were audited by Marlow Greaves Chartered Accountants, with an unmodified opinion, and were provided to Quillwood on 30 November 2022. Management accounts to 31 January 2023 have also been reviewed.

Group metric, FY22	Value
Revenue	A$142.3M
EBITDA	A$24.9M
EBITDA margin	17.5%
Net debt	A$61.4M
Net debt to EBITDA	2.5x

Table 6: Tidewater Communities Group, FY22 audited summary

Leverage of 2.5 times EBITDA is moderate for a land developer, but development EBITDA is lumpy and driven by settlement timing, and net debt includes project funding on other estates which is repaid from lot settlements. The management accounts to 31 January 2023 show trading in line with FY22 and no reported breach of any Group borrowing covenant. Quillwood notes that the sponsor undertakings are only as strong as the Group's liquidity at the time a call is made. The covenant package therefore includes a Group net debt to EBITDA test and a minimum liquidity requirement (Section 9).

5. The Project

5.1 Site, approvals and staging

The site is approximately 41.6 hectares in the Moreton Bay region, with the development approval allowing 318 lots in five stages over approximately 30 months. Bulk earthworks and civil construction on Stage 1 are targeted to start in July 2023, after financial close and the receipt of operational works approvals. Each stage requires council sign-off, sewer and trunk water connections, and plan sealing before titles can be registered and lots settled.

Stage	Lots	Hard cost A$M	GRV A$M	Target titles
Stage 1	70	7.4	23.9	Q2 2024
Stage 2	72	7.2	24.6	Q3 2024
Stage 3	68	6.8	23.5	Q4 2024
Stage 4	58	5.9	20.0	Q1 2025
Stage 5	50	5.4	16.8	Q2 2025
Total	**318**	**32.7**	**108.8**	

Table 7: Staging, hard costs and GRV (ex GST)

5.2 Product and pricing

Lot band	Lots	Average price A$000	Value A$M
330 to 400 sqm	102	307	31.3
401 to 480 sqm	130	342	44.5
481 to 600 sqm	86	384	33.0
Total	**318**	**342**	**108.8**

Table 8: Lot mix and valuer's pricing (ex GST)

The product is aimed at first-home buyers, upgraders and small builders who buy several lots and build for sale or rent. The average price of A$342,000 for an average lot of about 450 square metres is lower than for comparable lots in the inner Brisbane corridors, which supports depth of demand. Harbourline's pricing relies on recent lot sales in the Moreton Bay corridor, but its valuation date of 24 November 2022 is before the most recent increases in the cash rate, which the Reserve Bank has lifted to 3.60%. Quillwood has therefore treated the valuation as a base case and stressed it (Section 7).

5.3 Pre-sales

At the proposal stage, 58 of the 142 lots in Stages 1 and 2 are pre-sold, equating to 41%, under contracts with 10% deposits held in trust. There are no pre-sales for Stages 3 to 5. The level is modest for a facility of this size, and Quillwood has set pre-sale tests for the release of later stage funding rather than for the initial drawdown. Pre-sales provide evidence of price acceptance, but they do not by themselves provide a repayment source, because deposits are small relative to the settlement amount and purchasers can fail to obtain finance.

6. Security

The security package is conventional for a land and civils facility and will be documented by Nettleton Hayes Lawyers, acting for Quillwood. The following security will be taken:

- A first registered mortgage over the entire project land, with the vendor's mortgage and any caveats to be released at financial close.
- A GSA over all present and after-acquired property of the Borrower, including the benefit of sales contracts, contract deposits (to the extent permitted by law), insurance proceeds and bank accounts.
- Assignment of the Brightwater civil contract, with a collateral deed giving Quillwood step-in rights, and collateral warranties from the design and engineering consultants.
- Completion and cost overrun undertakings from Tidewater Communities Pty Ltd, with any cost overruns above contingency funded by the Sponsor before further drawdown.
- A subordination deed for any related-party loans, preventing distributions or repayments until the facility is repaid in full.
- Insurance, including contract works, public liability and professional indemnity, with Quillwood's interest noted.

Brightwater is engaged under a fixed price lump sum contract of approximately A$30.4M, which covers most of the A$32.7M hard cost budget. The balance relates to owner-direct items such as authority connection fees. The contract includes 5% performance security, liquidated damages for late completion and a provision for wet weather days which Corbett Lowe has assessed against historical Moreton Bay rainfall. Quillwood has not yet sighted the final form of the contract and has made this a condition precedent.

Quillwood will have the right to appoint a receiver and manager under the GSA, and to complete and sell the project. In an enforcement scenario, the key value drivers are the unsold stock, the stage in the approvals process and the cost to complete. Because the loan is advanced against the cost of the works as they are done, in most scenarios the security value should at least equal the amount drawn. The principal exception is a fall in lot values.

7. Financial Analysis

7.1 Valuation and feasibility

The Harbourline valuation, dated 24 November 2022, assesses the as-is value of the land at A$31.5M and the GRV at A$108.8M excluding GST, based on 318 lots at an average of A$342,000. Quillwood has reviewed the comparable evidence and considers the pricing to be supportable, with the larger lots at the top of the range of recent sales. The base case feasibility is:

- GRV of A$108.8M less selling costs of A$3.3M gives net sale proceeds of A$105.5M, which is 97% of GRV.
- TDC of A$86.0M implies a development profit of A$22.8M, which is 26.5% on cost and 21.0% on GRV.
- The facility limit of A$58.0M is 53.3% of GRV and 67.4% of TDC. Net sale proceeds cover the limit 1.82 times.

The profit margin provides a cushion for the Sponsor's equity, which ranks behind the facility. The facility, as senior debt with a 100% cash sweep, is repaid when around 60% of lots by value have settled on the base case, leaving the remaining lots as surplus for the Sponsor.

7.2 Drawing and repayment profile

The facility will be drawn first to repay the vendor terms balance of approximately A$14.0M and then for construction and other costs as they are incurred, after the application of the Sponsor's cash equity of A$11.4M. The facility is re-drawable while Stage 4 and 5 civils are being completed, with net settlement proceeds applied against the balance. The base case peak balance is A$56.0M in September 2024, leaving A$2.0M of headroom under the limit, and the facility is fully repaid in the quarter to June 2025, one quarter ahead of the scheduled maturity. The downside case assumes a 20% fall in GRV, slower sales and a 6 month delay in settlements. Under the downside case, the balance reaches the limit of A$58.0M in December 2024 and A$28.0M remains at the scheduled maturity, which would require an extension or Sponsor support.

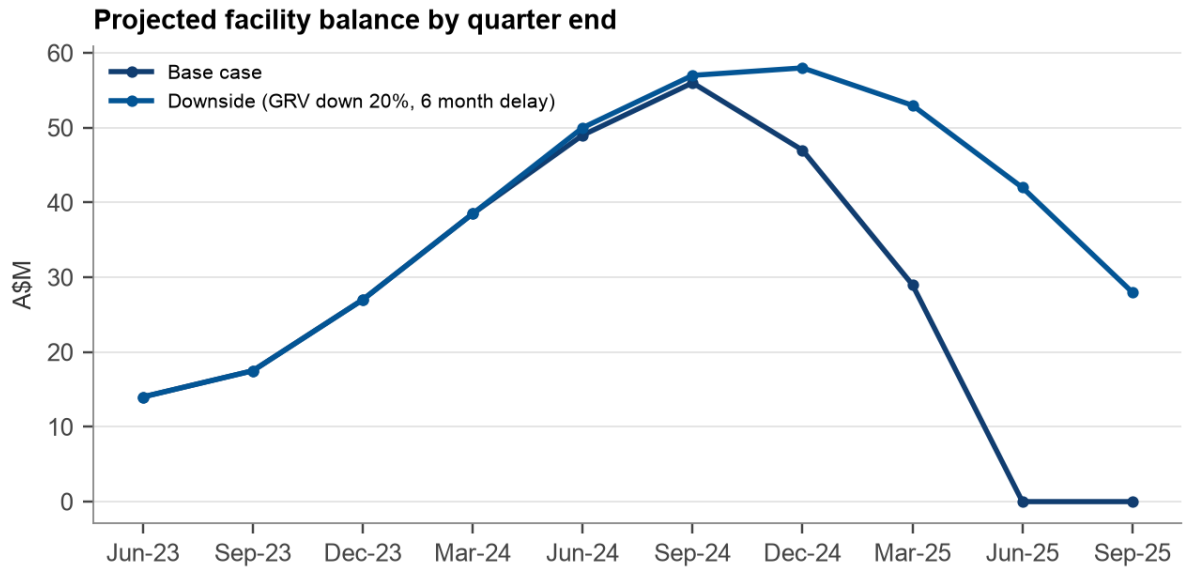


Figure 1: Projected facility balance, base case and downside. Source: Quillwood Credit Partners model.

7.3 Sensitivity analysis

Scenario	GRV A$M	Facility to GRV	Net proceeds cover
Base case	108.8	53.3%	1.82x
GRV down 10%	97.9	59.2%	1.64x
GRV down 20%	87.0	66.6%	1.46x
GRV down 30%	76.2	76.2%	1.27x
GRV down 20%, 5% settlement default	86.4	67.1%	1.44x

Table 9: GRV sensitivity against the A$58.0M limit (net proceeds after 3% selling costs)

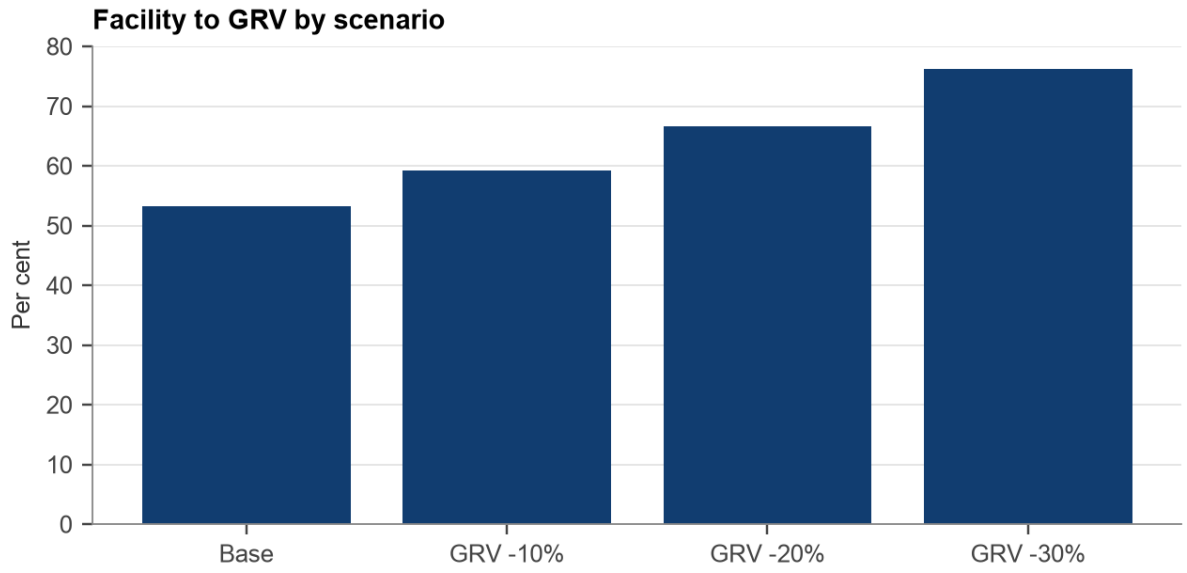


Figure 2: Facility to GRV under GRV stress. Source: Quillwood Credit Partners model.

The facility would be covered by net sale proceeds until GRV falls by approximately 45%, to about A$59.8M. On the combined case of a 20% fall in GRV and a 5% settlement default rate, with defaulted lots (about 16 lots) resold at a 15% discount, GRV reduces by a further A$0.7M and facility to GRV is 67.1%. Because deposits of 10% are retained on default in most cases, the loss on settlement default is less than the discount suggests. The settlement default stress of 5% is more than twice the Group's weighted average of 2.1% in Table 5.

A cost overrun of 15% on hard costs would add A$4.9M. The first A$2.4M would be absorbed by contingency, and the balance of A$2.5M would be funded by the Sponsor under the overrun undertaking, which is small relative to the Group's EBITDA of A$24.9M. The principal sensitivity is therefore to price, and the more important question is the time taken to sell, because interest accrues at roughly 10.0% on the drawn balance. Each additional quarter of delay at the peak balance costs approximately A$1.4M of capitalised interest.

8. Key Risks and Mitigants

Risk	Rating	Key mitigant
Construction cost and programme	Medium	Fixed price contract, 7.3% contingency
Market and pricing	Medium to high	53.3% facility to GRV, 45% break-even
Settlement	Medium	2.1% history, 5% stress, 10% deposits
Pre-sales concentration	Medium	Stage tests for later drawdowns
Approvals and infrastructure	Medium	CPs, stage sign-off tests
Sponsor dependence	Medium	Group covenants, subordination

Table 10: Risk summary

8.1 Construction cost and programme risk

The civil works include bulk earthworks, roads, stormwater, sewer, water and electrical works. These are exposed to wet weather delays, escalation in earthworks and pipe materials and variations from unexpected ground conditions. Mitigants include the fixed price lump sum contract with Brightwater, 5% performance security, liquidated damages, a geotechnical review by Corbett Lowe, and the contingency of A$2.4M. Corbett Lowe will certify each progress claim before drawdown. The Sponsor's overrun undertaking supports any shortfall beyond contingency, and the facility must remain in balance at all times (Section 9).

8.2 Market and pricing risk

Lot values in the Moreton Bay corridor may soften if interest rates rise or buyer demand weakens, which would reduce GRV against the A$108.8M assumed. This is the most significant risk because the cash rate has risen sharply since the valuation date. The facility to GRV of 53.3% and the break-even fall in GRV of about 45% provide substantial cover. The price points are also lower than in the more expensive Brisbane corridors. An updated valuation is required before the drawdown for Stage 3 civils, and the facility to GRV covenant of 65% would allow Quillwood to require repayment if values fell by around 18%.

8.3 Settlement risk

Purchasers may fail to settle or may be unable to obtain finance, particularly if lending standards tighten. The Group's weighted default rate is 2.1% against a stress assumption of 5%. Deposits of 10% are held in trust and are forfeited on default, and the Borrower may resell lots. Sales are to be to a spread of owner-occupiers and small builders, with no single purchaser to hold more than five lots without Quillwood's approval. Quillwood will receive monthly reporting of contracted sales, settlements and any defaults.

8.4 Pre-sales concentration

Only 41% of Stages 1 and 2 lots were pre-sold at the proposal stage, and no lots in Stages 3 to 5 are pre-sold, so later stages depend on sales during construction. The facility therefore requires the following pre-sale levels before civil construction starts on each later stage: 65% of Stage 1 and 2 lots (93 lots) before Stage 3 civils, and 50% of lots in the preceding stage before Stages 4 and 5. The drawdown tests ensure that capital is not committed to later stages ahead of sales evidence, and the stage-based structure limits the amount at risk.

8.5 Approvals and infrastructure risk

Plan sealing and title registration depend on timely council and utility sign-off, including sewer and trunk water connections. Delays would push back settlements and increase capitalised interest. Quillwood will require evidence of operational works approval for Stage 1 before first drawdown for construction, written confirmation from the relevant utilities of connection capacity, and a review of the approvals programme by Corbett Lowe. Plan sealing for each stage is a condition for the release of funds to the next stage.

8.6 Sponsor dependence

The completion, cost overrun and liquidity support rely on Tidewater Communities Group, which carried net debt of 2.5 times EBITDA in FY22. The Group's earnings are concentrated in land settlements and could fall in a weaker market. Mitigants include Group financial covenants, minimum liquidity, the subordination of related-party debt, and the cash sweep, which prevents distributions until repayment. Quillwood's recourse to the Sponsor is limited to the undertakings, and Quillwood should not treat them as a substitute for project cover.

9. Covenants and Undertakings

Covenant	Requirement	Test
Facility to GRV	Not more than 65%	On each valuation
In balance	Undrawn limit plus equity at least cost to complete	Each drawdown
Group net debt to EBITDA	Not more than 3.5x	Half-yearly
Group liquidity	At least A$5.0M unencumbered cash	Quarterly
Group tangible net worth	Not less than 85% of the FY22 audited level	Half-yearly
Release price	At least 115% of allocated debt per lot	Each settlement
Facility maturity	30 months from financial close	Final

Table 11: Proposed financial and operating covenants

Further undertakings include:

- monthly reporting of sales, deposits, settlements, defaults, construction progress and cost to complete, with Corbett Lowe certifying progress claims;
- annual audited financial statements for the Group within 120 days of year end, and half-yearly management accounts;
- no distributions, related-party repayments or new financial indebtedness without Quillwood's consent until the facility is repaid;
- an updated valuation by an approved valuer at the drawdown for Stage 3, and then annually or on a material adverse change;
- no variation to the Brightwater contract above A$250,000 without Quillwood's consent; and
- no sale of lots below the release price, and no bulk sale of more than five lots to one purchaser, without Quillwood's consent.

10. Conditions Precedent and Subsequent

10.1 Conditions precedent to first drawdown

- Execution of the facility agreement, GSA, mortgage, sponsor undertakings, subordination deed and collateral deeds, with legal due diligence reports from Nettleton Hayes Lawyers on title, the development approval, contracts and structure.
- Registration of the first mortgage and release of the vendor's security.
- Satisfactory final valuation from Harbourline addressed to Quillwood and a reliance letter from Corbett Lowe on the cost plan and the Brightwater contract.
- Execution of the Brightwater civil contract on terms acceptable to Quillwood, including 5% performance security, and the collateral deed.
- Evidence that the sponsor equity of A$28.0M has been contributed or, for the cash portion of A$11.4M, will be spent before any construction drawdown.
- Operational works approval for Stage 1 and evidence of utility connection capacity.
- Copies of the 58 pre-sale contracts in Stages 1 and 2, and confirmation that deposits are held in trust.
- Insurance certificates, KYC and anti-money laundering checks on the Borrower and the Sponsor, and lender references for the projects in Table 5.
- Payment of the establishment fee of A$870,000.

10.2 Conditions precedent to later stage drawdowns

- Stage 3: updated valuation, pre-sales of at least 65% of Stage 1 and 2 lots (93 lots), operational works approval and Corbett Lowe confirmation that the facility remains in balance.

- Stages 4 and 5: pre-sales of at least 50% of lots in the preceding stage, plan sealing of the preceding stage and no event of default.

10.3 Conditions subsequent

- Within 60 days of financial close, delivery of the signed insurance policies noting Quillwood's interest and a notice of assignment of the Brightwater contract acknowledged by Brightwater.
- Within 90 days of financial close, delivery of a sales and marketing plan for Stages 3 to 5 and a programme for the approvals of each stage.
- Within 30 days after each stage's plan sealing, delivery of the as-built certificate and the final cost report for that stage.

11. Sign-off

The analyst has prepared this paper from the information memorandum dated 17 October 2022, the Harbourline valuation dated 24 November 2022, the Corbett Lowe report dated 9 December 2022, the Group's audited FY22 financial statements provided on 30 November 2022, management accounts to 31 January 2023 and the term sheet dated 17 February 2023. Quillwood has not independently verified the Sponsor's track record data beyond the settlement statements reviewed. The analyst recommends that the Investment Committee approve the facility on the terms in Section 2.

Prepared by	Tom Verhoeven, Senior Credit Analyst, Real Estate Finance
Date prepared	9 March 2023
Reviewed by	Alison Draper, Head of Real Estate Finance
Date reviewed	9 March 2023
Approver	Chair, Investment Committee
Decision	Approved / Approved with conditions / Declined / Deferred (circle one)
Approver signature and date	_____

Analyst and approver sign-off